

Macroeconomic crisis expected to drive high food prices through 2019

Key Messages

- The harvesting of 2018/19 main season crops was completed in most rainfed livelihood zones, though the harvest is ongoing and delayed in semi-mechanized areas due to fuel and cash shortages and the high cost of labor. With the availability of harvests, food security has improved from the lean season, and many areas in Sudan are expected to sustain Minimal (IPC Phase 1) or Stressed (IPC Phase 2) outcomes through April. However, the macroeconomic crisis is hindering food access for many poor households, and Crisis (IPC Phase 3) outcomes are expected in parts of Red Sea and Kassala states, Darfur, North Kordofan, South Kordofan, Blue Nile, and among most IDPs in SPLM-N controlled areas of South Kordofan and Jebel Marra between February and May.
- Poor macroeconomic conditions persist, fueled by the scarcity of foreign currency, and the Sudanese Pound (SDG) stands at 61 SDG in the parallel market. According to Sudan's Central Bureau of Statistics (SCBS), the December 2018 National inflation rate was 72.94 percent, compared to 68.93 percent for November 2018 and a five-year average of 27.16 percent.
- The prices of sorghum and millet have continued increasing in December and January, which is atypical of the harvesting period. This is due to the delayed harvest in semi-mechanized sorghum-producing areas, as well as currency depreciation and the impacts of macroeconomic conditions on the cost of production and transportation. Sorghum and millet prices are on average 150 percent above last year and over 270 percent above the five-year average. Food prices are expected to further rise in 2019 and food access among poor household will be much lower than normal during the 2019 lean season when poor households are reliant on markets to access food.
- According to the UNHCR, an estimated 1,700 new refugees from South Sudan arrived in Sudan in December 2018. In total in 2018, roughly 33,117 people fled from South Sudan to Sudan, significantly lower than the estimated 195,599 arrivals in 2017. The total number of South Sudanese refugees in Sudan since mid-2013 stands around 852,000 and available information suggests most have access to humanitarian food assistance and are likely Stressed (IPC Phase 2!).

* FEWS NET classification is **IPC**-compatible with limited exceptions. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. In rare cases, FEWS NET classification is IPC-aligned but not IPC-compatible. IPC-aligned analysis is evidence-based but some types of evidence required for IPC-compatibility were not available.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).